

Intermodal Motor Carriers Conference, et al.

v.

Ocean Carrier Equipment Management Association, Inc., et al.

FMC Docket No. 20-14

**Respondents' Opposition to Complainant's Motion
To Strike Declarations and For Sanctions**

Public - Unrestricted

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,)
AMERICAN TRUCKING ASSOCIATIONS, INC.)

Complainant,

V.

FMC Docket No. 20-14

OCEAN CARRIER EQUIPMENT MANAGEMENT ASSOCIATION, INC.; CONSOLIDATED CHASSIS MANAGEMENT, LLC; CMA CGM S.A.; COSCO SHIPPING LINES CO. LTD.; EVERGREEN LINE JOINT SERVICE AGREEMENT, FMC NO. 011982; HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK A/S; MSC MEDITERRANEAN SHIPPING COMPANY S.A.; OCEAN NETWORK EXPRESS PTE. LTD.; WAN HAI LINES LTD.; YANG MING MARINE TRANSPORT CORP.; AND ZIM INTEGRATED SHIPPING SERVICES,

Respondents.

**RESPONDENTS' OPPOSITION TO COMPLAINANT'S MOTION
TO STRIKE DECLARATIONS AND FOR SANCTIONS**

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**RESPONDENTS' OPPOSITION TO COMPLAINANT'S MOTION
TO STRIKE DECLARATIONS AND FOR SANCTIONS**

Respondents Ocean Carrier Equipment Management Association, Inc. ("OCEMA"), Consolidated Chassis Management, LLC ("CCM"), CMA CGM S.A. ("CMA"), COSCO Shipping Lines Co. Ltd. ("COSCO"), Evergreen Line Joint Service Agreement, FMC No. 011982 ("Evergreen"), Hapag-Lloyd AG ("Hapag-Lloyd"), HMM Co. Ltd. ("HMM"), Maersk A/S ("Maersk"), MSC Mediterranean Shipping Company S.A. ("MSC"), Ocean Network Express Pte. Ltd. ("ONE"), Wan Hai Lines Ltd. ("Wan Hai"), Yang Ming Marine Transport Corp. ("Yang Ming"), and ZIM Integrated Shipping Services ("ZIM") (collectively, "Respondents") submit this memorandum of law in opposition to Complainant's motion to strike the Declarations of Douglass Coates and Dr. James Reitzes and for sanctions ("IMCC Motion") in the above-captioned proceeding.

Introduction

IMCC has mischaracterized the Declarations of Douglass Coates (APP2202-20) and Dr. James Reitzes (APP 2226-48) (collectively, the "Declarations") as "new expert reports" in a transparent attempt to deflect attention from the substantive flaws in the arguments IMCC has advanced in opposition to Respondents' Motion for Summary Judgment ("Respondents' MSJ") and to Respondents Response to IMCC's Motion for Summary Decision. For the reasons discussed below, IMCC's Motion should be denied.

1. Experts' Reports May Be Hearsay

As discussed briefly in Point 4 of the Respondents' Reply Memorandum of Law in Further Support of Their Motion for Summary Judgment ("Respondents' Reply", Docket 20-14, Doc. No. 112, at pp. 11-13), the Declarations were submitted to avoid treatment of the Initial and Rebuttal Reports of Mr. Coates and Rebuttal Report of Dr. Reitzes as inadmissible hearsay. *Ake*

v. Gen. Motors Corp., 942 F. Supp. 869, 877–78 (W.D.N.Y. 1996) Respondents are aware that, under the revision to Rule 56 of the F.R.C.P., such reports are sometimes but not always accepted; therefore, there is doubt as to their admissibility under 46 C.F.R. §502.70 and 502.12. As the reports could be considered hearsay under the Federal Rules of Evidence¹, Respondents properly chose to advance their previously disclosed experts’ opinions in the form of Declarations.

2. **Experts Can Elaborate, Explain and Expand Upon the Opinions or Issues in Their Reports**

IMCC’s Motion expands upon a comment buried in footnote 4 of Complainant’s Response to Respondents’ Motions for Summary Decision (Docket 20-14, Doc. No. 108, at p. 4)² and now seeks to strike the Declarations of Mr. Coates and Dr. Reitzes as “new” reports. Regardless of whether expert reports constitute hearsay, an expert is permitted to supplement, elaborate on, and explain his report. It is well established that the expert disclosure rules do not limit an expert’s testimony “simply to reading his report.” *Thompson v. Doane Pet Care Co.*, 470 F.3d 1201, 1203 (6th Cir. 2006). “The rule contemplates that the expert will supplement, elaborate upon [and] explain” his or her report. *Id.*, accord *Muldrow ex rel. Estate of Muldrow v. Re-Direct, Inc.*, 493 F.3d 160, 167–68 (D.C. Cir. 2007) (rejecting challenge to expert’s testimony since it was merely “an elaboration of [his] written report”); *Gay v. Stonebridge Life Ins. Co.*, 660 F.3d 58, 64 (1st Cir. 2011) (“although his testimony uses different words than the expert report, it was a reasonable elaboration of the opinion disclosed in the report”); *In re Stand ‘N Seal, Products Liability*

¹ See, *Engbreetsen v. Fairchild Aircraft Corp.*, 21 F.3d 721, 728- 29 (6th Cir. 1994) (expert reports were erroneously admitted on their direct examination because Rules 702 and 703 permit the admission of expert opinion testimony, not opinions contained in documents prepared out of court); *Westfed Holdings, Inc. v. United States*, 55 Fed. Cl. 544, 569 (Fed. Cl. 2003) (expert reports were inadmissible for the truth of the matters asserted and inadmissible under Rule 703).

² IMCC appears to suggest that footnote 4 was, in fact, a motion that required a response within 7 days. There is no authority to support IMCC’s assertion that a footnote constitutes a motion, and Respondents properly addressed it in Point 4 of Respondents’ Reply (Docket 20-14, Doc. No. 112, at pp. 11-13) .

Litigation, 636 F.Supp.2d 1333, 1336 (N.D. Ga. 2009) (denying motion to strike on grounds that, while “some of the statements elaborate on the conduct of manufacturers and distributors with regard to product safety, . . . some elaboration is allowed”); *Emcore Corp. v. Optium Corp.*, No. 6-1202, 2008 WL 3271553, at *4-*5 (W.D. Pa. Aug. 5, 2008) (denying defendant’s motion to strike declaration of expert witness on grounds that the challenged “statement is an elaboration of and consistent with an opinion/issue previously addressed in Dr. Smith’s report” and not “a new opinion”).

Rather than constitute “new” reports, as IMCC has disingenuously claimed, the Declarations are recitations under oath of the statements and opinions articulated by Mr. Coates and Dr. Reitzes in their respective reports and elaborations of those opinions.

A. Paragraph 14 of the Douglass Coates Declaration Should Not Be Stricken

As to Mr. Coates, footnote no. 4 of Complainant’s Response to Respondents’ Motions for Summary Decision (Docket 20-14, Doc. No. 108, at p. 4) objected only to paragraph 14 of Mr. Coates’ Declaration because it “for the first time, evaluat(ed) motives and effects of [REDACTED] [REDACTED]”. The subjects and points covered in paragraph 14, however, were indeed discussed in Mr. Coates’ prior reports, specifically at pp. 22-23 of his Initial Report (CX00001524 at 1549-50).

Mr. Coates’ Initial Report addressed, among other things, [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]. *Id.* Specifically, Mr. Coates stated:

[REDACTED]

[REDACTED]

Id. (emphasis added)

In its Motion, IMCC argues that Mr. Coates’ Declaration “contains new opinions, such as evaluating motives and effects of [REDACTED].” IMCC Motion, p. 3, citing Coates Declaration, ¶ 14. Paragraph 14 of Mr. Coates’ Declaration contains virtually identical language to that in Mr. Coates’ Initial Report. Mr. Coates discussed both the impact of [REDACTED] at pp. 22-23 of his Initial Report. To the extent that the statements in paragraph 14 of the Coates Declaration are not identical to those contained in his Initial Report, they constitute permissible elaboration, explanation, clarification and expansion of his original opinions.

Further, even if IMCC’s objection to paragraph 14 had a sound basis (which it does not), that would not justify striking the entire Coates Declaration. Accordingly, IMCC’s assertions as to the Coates Declaration are meritless on their face.

B. The Reitzes Declaration Should Not Be Stricken

Similarly, the challenged statements in Dr. Reitzes’ Declaration constitute proper elaboration, explanation and clarification of his original opinions. Dr. Reitzes’ Declaration (APP 2226-48), submitted in support of Respondents’ Opposition to Complainant’s Motion for Summary Decision, references the numerous defects in the “regression analysis” prepared by IMCC’s economist, Dr. James Langenfeld, which were explained in Dr. Reitzes’ report:

16. [REDACTED]

18. [REDACTED]

100. [REDACTED]

Reitzes' Report, ¶¶ 16, 18, 100, (CX00001625, at 1632 and 1669)

Further, these defects were elaborated upon by Dr. Reitzes at his deposition:

[REDACTED]

[REDACTED]

[REDACTED]

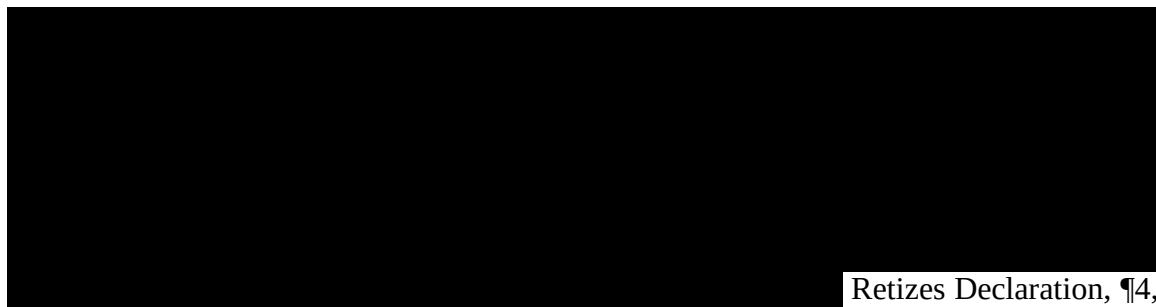
[REDACTED]

[REDACTED]
[REDACTED]. Reitzes Dep., p. 107-8 (APP 2997-8)

IMCC has no grounds on which to object to the use of a Declaration to adduce Dr. Reitzes opinions in an admissible form (*supra*). What IMCC seeks to preclude is Dr. Reitzes' [REDACTED] [REDACTED] that Dr Reitzes discussed in his Rebuttal Report and deposition. Despite IMCC's strident objection, Respondents are explicitly permitted to allow their expert to elaborate upon opinions that had already been advanced. Respondents have the right, and the obligation, under F.R.C.P. 26(e)(1) and (2) to "supplement...its disclosure" "if the additional ...information has not otherwise been made known to the other parties during the discovery process or in writing..." See, also, *Am. Med. Sys. v. Laser Peripherals, LLC*, 712 F. Supp. 2d 885 (D. Minn. 2010), in which the plaintiff was permitted to submit a declaration by an expert, who was not disclosed in accordance with the pretrial schedule, because the declaration was intended to rebut the opinions of the defendant's expert [at 924]. This principle was squarely approved in *Thompson, supra*. In that case, the Court of Appeals directed that Plaintiff's "accounting expert should be allowed to explain fully his expert findings and conclusions so that the jury will have a full picture of the differences in the value of [plaintiff's] interest between [defendant] and [plaintiff's] experts." 470 F.3d at 1201-03.

This principle has been upheld in numerous other decisions, including *Emcore Corp.*, Civ A. 6-1202, 2008 WL 3271553, at *4-5 (statements in an expert's declaration were not exactly what he stated in his report, but were not beyond the scope of his report because they were "an elaboration of and consistent with an opinion/issue previously addressed in [his] report"); *In re Stand 'N Seal*, 636 F. Supp. 2d at 1336 (an expert's affidavit elaborating on items discussed in her report should not be excluded because "some elaboration is allowed.").

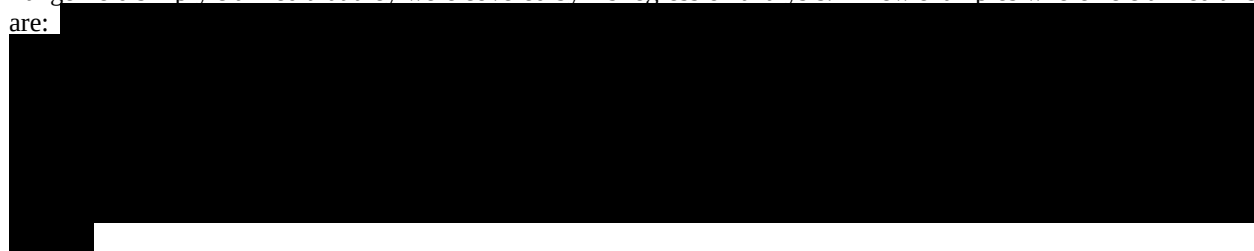
As discussed above, Dr. Reitzes was critical of Dr. Lagenfeld's regression analysis. His Declaration simply elaborates on these criticisms and specifically states that they are necessitated because:

 Retizes Declaration, ¶4, (APP 2226 at 2228)³

The remainder of Dr. Reitzes' Declaration goes on to elaborate upon and explain his earlier opinions. As the above cases confirm, this is not the type of expert evidence which courts will preclude or strike, as IMCC so strenuously demands.

The cases cited by IMCC in support of its motion are either inapposite or do not support the finding they seek.⁴ *United States v. Aegis Therapies, Inc.*, No. CV 210-072, 2015 WL 1541491, at *10 (S.D. Ga. Mar. 31, 2015) (affirming exclusion of supplemental expert disclosure) is not applicable because in that case, the Plaintiff had requested to reopen discovery for a second effort to supplement witness testimony with a new expert witness who was not previously disclosed. This holding does not support IMCC's motion because Dr. Reitzes' Rebuttal Report identified

³ Astoundingly, when queried about the performance of standard economic analyses to support his opinions, Dr. Lagenfeld simply claimed that they were covered by his regression analysis. A few examples where he claimed this are:



⁴ *Yeti by Molly, Ltd. v. Deckers Outdoor Corp.*, 259 F. 3d 1101 (9th Cir. 2001), one of the cases relied upon by IMCC, was distinguished in Point 4 of the Reply in Support of Respondents' MSJ and need not be repeated here.

flaws in the Langenfeld regression analysis and he was deposed regarding those opinions – his Declaration simply elaborates upon that evidence.

Gen. Steel Domestic Sales, LLC v. Chumley, No. 10-cv-01398-PAB-KLM, 2012 WL 1378536, at *5 (D. Colo. Apr. 20, 2012) is easily distinguished. The plaintiff in that case added two expert witness opinions, through affidavits, and attempted to “pass off” the two experts as lay witnesses when challenged. The defense was not given notice of the witnesses’ identity or any opportunity to depose them. Here, Dr. Reitzes’s report was timely served and, in his report and subsequent deposition, he articulated his criticism of the Langenfeld regression analysis. Since his Declaration elaborates upon these opinions, the *Gen Steel* case is not applicable and does not support IMCC’s argument.

Mariscal v. Graco, 52 F. Supp. 3d 973, 983 (N.D. Cal. 2014) which is also distinguishable, involved a second opinion issued by the expert which departed significantly from the first opinion. The court looked at whether the changes were “superficial differences,” rather than statements that were different and material in both substance and effect. The opinions that were new were also opinions that could have (and should have) been stated previously as opposed to the statements by Dr. Reitzes in his Declaration, which elaborate upon his opinions and address testimony adduced from Dr. Langenfeld at his deposition.

Baird v. Blackrock Institutional Tr. Co., N.A., 330 F.R.D. 241, 247 (N.D. Cal. 2019) is completely inapplicable, and involved a motion to certify a class action where the witnesses may have been important to the issue of whether a class should be certified. This case is distinct because it does not deal with the issue presented in IMCC’s motion, i.e., whether an expert can elaborate upon earlier expressed opinions.

Plumley v. Mockett, 836 F. Supp. 2d 1053, 1064 (C.D. Cal. 2010) considered whether the need for new opinions could have been reasonably anticipated, and considered whether additional testimony from the expert included a “new opinion that is designed to strengthen Defendant’s legal argument” rather than restate or supplement an earlier opinion. This decision does not support IMCC’s Motion – indeed, it is consistent with the cases cited by Respondents.

Finally, as discussed in Point 4 of their Reply in Support of Respondents MSJ, Respondents’ right to submit declarations from their experts which contain supplemental statements is supported by Rule 502.202, captioned “Right of parties to present evidence.” This Rule states: “Every party has the right to present its case or defense by oral or documentary evidence, to submit rebuttal evidence, and to conduct such cross-examination as may be required for a full and true disclosure of the facts.” Given this Rule, the provisions of Rule 26 (e)(1) and (2) and the case law interpreting Rule 26, no portion of the Declarations of Mr. Coates, or Dr. Reitzes, should be barred.

3. Sanctions Are Neither Warranted Nor Available

IMCC references §502.150(b) in support of its unwarranted demand for sanctions, specifically an award of attorneys’ fees. The award of attorneys’ fees are plainly not available.

The lack of substantive merit to IMCC’s Motion, as discussed above, renders an award of sanctions moot. Further, there is no FMC precedent cited by IMCC in support of its request for an award of legal costs under §502.150(b). Finally, decisions interpreting the predecessor of the current rule confirm that monetary sanctions are not available under Commission regulations. *See, Odyssey Stevedoring of Puerto Rico, Inc. v. Puerto Rico Ports Authority*, 29 S.R.R. 1401 (ALJ 2003) (“The Commission has enacted Rule 210, which authorizes the assessment of sanctions where a party fails to comply with an order to provide discovery. It does not provide for monetary

sanctions, but rather, for the striking of pleadings or the preclusion of evidence in certain instances. In that respect, it differs from Fed. R. Civ. P. 37(b)(2), which includes the assessment of monetary sanctions in federal court proceedings.”) 29 S.R.R. at 1407. As the current regulation is virtually identical in substance to Rule 210(a), it does not contemplate an award of monetary sanctions in connection with a discovery motion. Complainant’s request for sanctions must therefore be denied.

Conclusion

For the foregoing reasons, IMCC’s Motion should be denied.

Respectfully submitted,

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